

NATIONAL NETWORK • Y2 → Y5 ROLLOUT

RaceSims

- **National Network**

India's integrated motorsport development platform. Chennai is the proof point. This is the path from one centre to a national network — and to the next generation of Indian racing drivers.

India's integrated *motorsport development platform.*

Indian motorsport is in a moment most of us have waited a long time for. F1 viewership is growing every year, the INRC is delivering season after season of close racing, and **ARKA Motorsports** has spent four decades building championship pedigree. The audience is there. The talent is there. What's been missing is **a way in.**

Padel, cricket nets, climbing gyms, tennis clubs — every other sport has a casual on-ramp. Motorsport hasn't. The cost of entry has kept it out of reach. And for those who want to take it further into real racing, the ladder up has been narrow and gated for too long.

RaceSims is built for both. A place where anyone can try motorsport for the price of a movie ticket — and where those serious about it can find a real path to the racing grid through partnerships with **ARKA** and **Polo Cup**.

01

The equipment

Direct-drive wheelbases, motion platforms, load-cell pedals — the same technology behind F1 driver simulators — has finally become affordable enough to deploy commercially in India.

02

The pedigree

Founded by a working race engineer at **ARKA Motorsports** (130+ national championship titles). Every curriculum, every coaching session, every centre standard is shaped by motorsport people. The Ladder pathway to real-world seats is real.

03

The integration

Direct distributor in India for both **Conspit** and **VNM**. We get the gear at trade pricing — a **₹65L** centre built for **₹39L**. And we run the full stack: centres + hardware + championship + curriculum + sim-to-real pathway.

03 • WHERE I SEE RACESIMS IN 3 YEARS

By 2029, RaceSims will be *two things at once*.

Most other sports have casual on-ramps — padel, cricket, climbing, tennis. Motorsport hasn't. **We are building both the open door and the structured path.**

THE STORIES WE'LL HAVE HELPED WRITE

VIJAYAWADA

A 14-year-old whose family could never have afforded karting, who came in for a ₹500 first session and stayed for the Academy.

BANGALORE • OFF-SITE

A corporate team that chose RaceSims for their off-site over an axe-throwing brewery — and three came back as members.

HYDERABAD • DATE NIGHT

A couple who tried the motion rig and made it their new Friday thing.

CHENNAI → INRC

A driver lining up for their first INRC round — three years after their first session in our centre, in a car prepared by ARKA.

THEN COME THE NUMBERS

CENTRES OPERATING

17

7 Tier 1 + 5 Tier 2 cities

NETWORK REVENUE

₹40 cr

RaceSims direct ₹25-28 cr

EBITDA

₹8-10 cr

Operating cash funds rollout

VALUATION

₹250-400 cr

Series B in conversation

100,000+ customers across the network · 2,000+ Motorsport Academy graduates · First Academy graduate in real-world motorsport seat.

A place where motorsport finally becomes something anyone can try — and where the path to the racing grid begins for those who want to take it.

Three pillars. *The same three that define the brand.*

Drive · Train · Compete isn't just our framework — it's how each centre makes money. Each pillar carries multiple streams. Together they compound.

DRIVE

The volume — anyone can come

Per-session rigs

- Open Sessions · ₹500-1,000/hr
- Pass 8 · ₹5K/mo · Pass 16 · ₹9K/mo
- 10-hr prepaid pack (~15% off)
- Motion rig premium · ₹1.2-2.5K/hr

Group · Corporate · Private

- Corporate team days · ₹40-60K
- Birthday parties · ₹15-25K
- Private nights · ₹30-50K
- Brand activations / content shoots

Café · Merch · F&B

- Café · ₹150-400 avg ticket
- Branded merch · event-day kits
- Photo / content rentals

TRAIN

The depth — sim to real

The Motorsport Academy

- Initiation · 4 sessions · ₹8K
- Race Academy · 8 sessions · ₹14K
- Rally School · 10 sessions · ₹16K
- Pro Track · bespoke
- 1-on-1 coaching · ₹2.5-3.5K/hr

Pro Driver Training (B2B)

- Sim + telemetry coaching for real motorsport teams
- Per-event or retainer pricing

Real Driving Experiences

Through ARKA + Buzzing Hornet partnerships

- ARKA Real Drive** · ₹1.75L · 43% GM
- Buzzing Hornet Real Drive** · ₹2.25L · 44% GM
- Sim morning + real-car afternoon at the track

COMPETE

The brand engine

Championship participation

- Round entry · ₹2.5-5K
- Season pass · ₹15-25K
- Qualifying events · ₹500-1.5K

Championship operating profits

- Centre share of national championship*
- Hosted round share
- Sponsorship revenue share
- Broadcast + streaming revenue
- Content monetisation

As the network grows, each centre's Compete pillar **compounds** — every championship round, every leaderboard, every sponsor adds value to every centre.

₹2.5 cr Y5 revenue per mature centre · multi-stream resilience · Compete compounds with every new centre.

Chennai is what *every centre will look like.*

We've built the single-centre business case bottom-up. **₹95L Y1 investment. ₹4.91 cr 5-year EBITDA. 26-month payback.** Every centre in the network — Mumbai, Bangalore, Delhi, all of them — runs to this template, adjusted for city.

Y1 CASH NEED

₹95L

₹72L capex + ₹22L WC

PAYBACK

26_{mo}

Early Q1 of Year 3

5Y CUMULATIVE EBITDA

₹4.91_{cr}

5.2× capital multiple

Y5 EBITDA MARGIN

67%

Break-even at 24%

CHENNAI P&L • ₹ LAKHS	Y1	Y2	Y3	Y4	Y5	5Y TOTAL
Rig revenue	59.1	105.1	141.9	170.8	196.6	673.5
Ancillary (café, events, coaching, etc.)	8.3	19.5	33.2	45.1	55.1	161.2
Total revenue	67.4	124.6	175.1	215.9	251.7	834.7
Total opex (incl. café/merch COGS)	53.7	62.1	69.2	75.9	82.6	343.5
EBITDA	13.7	62.5	105.9	140.0	169.1	491.2
EBITDA margin %	20%	50%	60%	65%	67%	59%
PAT (after dep + 25% tax)	2.1	38.7	71.2	96.8	118.7	327.6

Full Chennai proposal in the companion deck (12 slides). Numbers locked. Investor-grade.

Mega Flagship and Boutique. *Different roles. Shared brand.*

BOUTIQUE

The Chennai template, replicated

Footprint	1,200-2,000 sq ft
Rigs	6 (5 Rally + 1 Motion)
Capex per centre	~₹95 L
Y5 revenue	₹2.5 cr
Y5 EBITDA margin	~67%
Payback	~26 months
Capital multiple (5Y)	5.2×

Role: volume + training + local community. Most centres are Boutiques — **36 of 43** at saturation.

MEGA FLAGSHIP

F1 Arcade-style experience venue

Footprint	4,000-6,000 sq ft
Rigs	12-18 (mix of Rally + Motion)
Capex per centre	~₹4-5 cr
Y5 revenue	₹5-7 cr
Y5 EBITDA margin	30-35%
Payback	~36 months
Capital multiple (5Y)	4.5×

Role: brand + events + championship rounds + premium F&B. **7 Megs** at saturation — one per Tier 1 metro.

Both formats share the Drive • Train • Compete framework, the Conspit/VNM kit, and the ARKA pedigree. *The difference is scale, not DNA.*

From one centre in 2026 *to 43 across India by 2030.*

Y1 · 2026	Chennai opens. Operating playbook documented as the franchise prototype. Hot Lap pool live across 4 dealer cities.	1 centre · ₹0.7 cr rev
Y2 · 2027	Mumbai Mega Flagship opens (direct, Powai). 5 boutique franchises: Hyderabad · Bangalore Indiranagar · Gurgaon · Pune · Kochi. National Championship Season 1 launches.	7 centres · ₹15-20 cr
Y3 · 2028	Bangalore Mega + Delhi-NCR Mega (direct). 8 boutique franchises: Chennai-OMR · Bangalore-Whitefield · Hyderabad-Gachibowli · Mumbai-Bandra · Coimbatore · Jaipur · Chandigarh · Ahmedabad.	17 centres · ₹35-45 cr
Y4 · 2029	3 more Mega Flagships: Hyderabad · Pune · Chennai-OMR . 12 boutiques: Goa · Lucknow · Indore · Surat · Mysore · Mangalore · Vadodara · Trivandrum · Vijayawada · Madurai · Bhubaneswar · Visakhapatnam.	32 centres · ₹70-85 cr
Y5 · 2030	Ahmedabad Mega + Kolkata Boutique open. Final 9 Tier-1 second-location + Tier-2 boutiques across remaining cities. India saturated.	43 centres · ₹105-115 cr

7 Mega Flagships in Tier-1 metros · 36 Boutiques (5 direct + 31 franchise) across Tier-1 second-locations and 18 Tier-2 cities · Every centre runs the Chennai template.

₹105 cr network revenue. ₹33 cr EBITDA to RaceSims.

TOTAL CENTRES 43 12 direct + 31 franchise	NETWORK REVENUE ₹105 cr All centres combined	RACESIMS DIRECT REVENUE ₹83 cr Operator + Distributor + Champ	RACESIMS EBITDA ₹33 cr 40% blended margin
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REVENUE STREAM • Y5	VOLUME	₹/UNIT	RACESIMS REVENUE
Mega Flagship centres (direct)	7	₹6 cr	₹42.0 cr
Boutique centres (direct)	5	₹1.8 cr	₹9.0 cr
Franchise royalty (6% × revenue)	31	~₹9L	₹2.8 cr
Franchise fees (new openings)	~5/yr	₹20-25L	₹0.8 cr
Hardware sales to franchises	—	—	₹5.5 cr
Hardware sales to consumers (centres as showroom)	—	—	₹12.0 cr
VMS (network + external SaaS)	—	—	₹1.8 cr
Championship sponsorships + broadcast	—	—	₹4.0 cr
Training programmes + corporate	—	—	₹5.1 cr
Total RaceSims direct revenue Y5			~₹83 cr

₹20-25 cr external capital. *Then operating cash funds the rest.*

5-YEAR CAPITAL DEPLOYMENT (₹ CR)

YEAR	DIRECT CAPEX	FRANCHISE + MKT	TOTAL
Y1 · 2026	0.95	0.5	1.45
Y2 · 2027	4.0	3.5	7.5
Y3 · 2028	8.0	6.0	14.0
Y4 · 2029	12.0	8.0	20.0
Y5 · 2030	6.0	8.0	14.0
5-year total	30.95	26.0	56.95

THE FUNDING LOGIC

External capital needed only in the first 30 months. After Y3, operating cash from mature centres + franchise royalties + hardware sales funds the rest of the rollout.

Series A · now

₹15-20 cr · funds Y1 (Chennai) + Y2 (Mumbai Mega + 5 boutique franchises) + championship launch + brand build.

Series B · optional, Y3

₹25-35 cr at ₹500-700 cr valuation if we want to accelerate Y3-Y5 buildout or fund international expansion. Not required for India saturation — operating cash covers it.

Why a franchisee says yes. *And why this scales.*

FRANCHISEE ECONOMICS

Franchise fee (one-time)	₹25 L
Setup capex (Chennai template)	₹95 L
Total Y1 investment	₹1.2 cr
Royalty to RaceSims	6% of revenue
Marketing fund (pooled)	2% of revenue
Hardware purchased through RaceSims	At distributor pricing
Y5 franchisee EBITDA (after deductions)	₹1.4-1.5 cr
Franchisee payback	~30 months
5Y franchisee EBITDA	~₹4.3 cr

RACESIMS UNIT ECONOMICS FROM EACH FRANCHISE

Franchise fee (Y0)	₹25 L
Hardware GM at setup (~30%)	₹12 L
Royalty + marketing fund Y5	~₹20 L/yr
Ongoing hardware replenishment GM	~₹5 L/yr
5Y revenue from one franchise to RaceSims	~₹85 L

WHY FRANCHISEES SAY YES

- Proven concept · Chennai unit economics already locked
- Brand · already known in motorsport circles via ARKA
- Cost edge · distributor pricing on hardware (saves ~₹25 L vs retail)
- Training + ongoing support from RaceSims HQ team
- Championship pipeline · customers flow in from national programmes

31 franchise centres at saturation = capital-light scaling. RaceSims books ₹26 cr+ from the franchise channel over 5 years.

Five moats. *What we hold that no one else can replicate.*

01 · PEDIGREE MOAT

ARKA exclusivity + The Ladder

Founder is a working race engineer at **ARKA Motorsports** (130+ national championship titles since 1987). First Academy graduates in real ARKA seats by Y3. Years to build, almost impossible to replicate from cold.

02 · INTEGRATION MOAT

Centres + championship + curriculum + sim-to-real

The only brand in India running the full stack under one roof. Hardware-only and community-only competitors play one slice. **We play the whole.**

03 · COST MOAT

Direct Conspit + VNM distribution

Every centre at trade pricing — ₹65L spec for ₹39L. National network funds itself off operating cash from Y3 onward. **Capital-light scaling.**

04 · NETWORK MOAT

43 centres feeding one brand

17 centres by Y3 · 43 by Y5 — leaderboards, championship rounds, member migrations all compound across the network. The brand becomes a **flywheel**, not a venue chain.

05 · BRAND MOAT

"Motorsport Academy graduate" as a credential

"*Motorsport Academy graduate*" becomes a recognised mark inside the Indian motorsport ecosystem. **RaceSims Champion** means something. Years to earn, permanent once landed.

Together they compound

Each moat alone is meaningful. Together they form a **defensive structure no specialist competitor can assemble in under 5 years** — even with capital.

₹1,000-1,300 cr at Year 5. *Realistic, not aspirational.*

THREE VALUATION LENSES · Y5

LENS	MULTIPLE	VALUATION
Revenue (premium growing brand)	12-15×	₹1,000-1,250 cr
EBITDA (mature platform)	25-30×	₹825-990 cr
Strategic (PE / motorsport buyer)	15-18× rev + growth	₹1,250-1,500 cr
Realistic Y5 range		₹1,000-1,300 cr
With adjacency stack layered (AMC, junior academy, merch retail, college curriculum, etc.)		₹1,250-1,650 cr

EXIT SCENARIOS

- **IPO** · Y5-Y6 at ₹1,500 cr+ if 43-centre saturation hits + adjacencies deployed
- **Strategic acquisition** · global esports / motorsport group, Indian sports conglomerate (Tata Sports, Reliance, Mahindra Racing)
- **PE growth fund** · build-and-hold to ₹3,000 cr+ via international expansion
- **Continued private at scale** · founder retains control through cash-flow funding

COMPARABLE BENCHMARKS

- Cure.fit / Cult.fit at peak: \$1.5B (~₹12,000 cr)
- F1 Arcade (global): NYSE-traded parent · comparable model
- Topgolf / Drive Shack: \$2B+ entertainment-experience venues

Premium · scarce · category-defining. *India's only integrated motorsport development platform.*

₹15-20 cr Series A. *Built to compound.*

USE OF FUNDS

- **Chennai flagship** · ₹1 cr
- **Mumbai Mega Flagship** · ₹4-5 cr
- **5 boutique franchise support** · ₹1.5 cr
- **Marketing + brand + championship** · ₹3-4 cr
- **VMS platform + team** · ₹2 cr
- **HQ ops + working capital** · ₹3-5 cr

WHAT IT RETURNS

- **7 centres operating** by end of Y2
- **17 centres · ₹8-10 cr EBITDA** by end of Y3
- **₹1,000-1,300 cr** Y5 valuation
- **50-70× return** potential on Series A
- **Operating cash positive** by Y3 — no further dilution required

TIMELINE

- **Close Series A** · 90 days from term sheet
- **Chennai open** · Q3 2026
- **Mumbai Mega open** · Q2 2027
- **7 centres operating** · End Y2
- **17 centres + championship S2** · End Y3
- **Series B conversation** · End Y3 (optional)

We built the unit economics. We built the brand. Now we want to build the network.

Help us put the next great Indian driver on a real grid by 2029.